Fact Find

Client: **Mrs Katherine Chen** Adviser: **John Smith, DipPFS** Meeting date: 14 March 2026

1. Personal Details

Field	Detail
Full name	Katherine Louise Chen
Date of birth	04 July 1961 (age 64)
Marital status	Married (spouse: Robert Chen, age 66, retired)
Dependants	None financially dependent
Address	14 Meadow Lane, Farnham, Surrey, GU9 8QN
Contact	k.chen@examplemail.co.uk / 07700 900042
Employment	Self-employed consultant (part-time, winding down)
Gross annual income	£32,000 (approx., declining)
State Pension	Receiving new State Pension £221.20/week
Health	Generally good. Osteoarthritis diagnosed 2023, managed with medication.

2. Client Objectives (client's own words, recorded in the meeting)

"I want flexibility over how I take my pension — I don't need a fixed income for life, my husband has a good DB pension and we have some savings. I'd rather have control, maybe leave what's left to our nieces, and be able to take lump sums for travel in the next 5 years while we're still well enough to go. I understand I'd be giving up the guaranteed pension from my old employer's scheme — I've thought about it and the flexibility is worth more to me than the guarantee."

Objective	Time horizon	Priority
Flexibility to take variable withdrawals	Immediate — 15+ years	High
Lump sums for travel in next 5 years	1–5 years	High
Leave residual fund to nieces on death	Long term	Medium
Replace guaranteed DB income	Not a priority — covered by husband's DB + State	Low

3. Existing Arrangements

Provider	Type	Value / Benefit	Date valued
Meridian Engineering Pension Scheme	Defined Benefit (deferred)	CETV £145,000 / £4,200 pa at 65, 3% escalation, 50% spouse	28 Feb 2026
Aviva Personal Pension	DC — existing	£38,400	28 Feb 2026
NS&I Premium Bonds	Cash	£22,000	28 Feb 2026
Joint Current Account	Cash (spouse joint)	£18,500	28 Feb 2026
Stocks & Shares ISA	Investment	£41,200	28 Feb 2026
State Pension	Statutory	£221.20/week in payment	—
Spouse DB Pension	Statutory income to household	£28,400 pa escalating	—

Notes on existing arrangements: The Meridian DB scheme is closed to future accrual. Cash emergency fund of £22,000 deemed adequate by client. ISA is actively invested (medium risk). Client's total household pension income (spouse DB + her State Pension + her State Pension) is £43,900 per annum, against household essential outgoings of £26,400.

4. Risk Capacity and Loss Capacity

4.1 Attitude to Risk: Client completed the firm's ATR questionnaire on 14 March 2026 (result: Moderate — see separate ATR document). Client agreed the result matched her own view. Client described her risk attitude as: "I don't want to lose a lot, but I'm not trying to get rich either — I've got enough, I just want to keep up with inflation and have flexibility."

4.2 Capacity for Loss (monetary): On the proposed £183,400 combined DC pension pot (£145,000 transferred + existing £38,400), client stated she could absorb a short-term loss of up to £36,680 (20%) without altering her retirement plans. A loss of £55,000+ would cause her to reduce planned travel spending. Her capacity for loss is supported by her spouse's DB income, State Pension, cash reserves, and ISA. This capacity for loss analysis is recorded separately from her ATR per firm policy criterion SP-3.

4.3 Experience and Knowledge: Client has held a Stocks & Shares ISA for 18 years, actively invested. She understands the difference between DB and DC pensions having discussed it at the first meeting. Reasonable-reader test applied — client confirmed she understands that DC pensions can fall in value and that there is no guaranteed income for life.

5. Affordability

Household income: £43,900 pa (guaranteed sources only). Essential outgoings: £26,400 pa. Surplus: £17,500 pa before discretionary spending. The recommendation does not require further client contributions. Planned drawdown of up to £15,000 pa in years 1–5 is affordable without impacting essential spending even if markets fall 25%.

6. DB Transfer Considerations (specific to this recommendation)

Client understands that transferring out of the Meridian DB scheme means:

- Losing the guaranteed £4,200 pa income at 65 (escalating 3%) and the 50% spouse's pension of £2,100 pa.
- Taking on investment risk on the £145,000 transferred value.
- The transfer is generally irreversible.
- Critical yield required to match scheme benefits: 8.2% per annum (see TVA document).
- The recommended growth assumption for the new arrangement is 4.5% per annum — a shortfall she has acknowledged.

Client prioritises flexibility and inheritance over the guaranteed income. Her husband's DB pension (£28,400 pa escalating) provides household income security independent of her decision. This rationale is central to the recommendation.

7. Sustainability / ESG Preferences

Client was asked about preferences for sustainable / ESG-aligned investments. She stated she had "no strong preference" and asked the adviser to recommend appropriately. No specific ESG exclusions were requested.

8. Vulnerability Assessment

Client identified as **potentially vulnerable** under the health driver (osteoarthritis, managed). Impact on advice: none — cognitive capacity unaffected, client actively engaged, no evidence of undue third-party influence. Flagged in case of future deterioration; recommendation is unchanged.

Signed (adviser): J. Smith **Date:** 14 March 2026

Signed (client): K. Chen **Date:** 14 March 2026